

VALUE OF \$10,000 COMPOUNDING AT 13.1 PERCENT
AND 16.8 PERCENT

	13.1 PERCENT (S&P 500)	16.8 PERCENT (ACORN FUND)
Beginning	\$10,000	\$10,000
5 years	18,506	21,738
10 years	34,247	47,253
15 years	63,378	102,717
20 years	117,288	223,284
26 years (6/70-6/96)	217,053	485,368

The academics aren't sure why the small-company stocks that are Acorn's territory have done better than large-company stocks. I've asked a half-dozen people who have written PhD theses on the subject to summarize their explanations, and all I get is "Aahhh . . . er . . . hmmmmm . . ." and eventually "I don't know."

A big problem in coming up with an answer is that there are two kinds of small companies. There are the young, possibly rapidly growing companies that are small because they haven't been around long enough to get big. And then there are the other kind, the distressed companies, the formerly big outfits that are losing money, so their stock price and market capitalization have shrunk in tandem. They have had smallness thrust upon them. The day before it entered bankruptcy, Penn Central was a small-cap company.

The academics looking at the returns of small companies want to consider the risk people take to invest in them, and the risks in the two kinds of small companies can obviously be very different. Some of the studies going on now are trying to separate out the two categories.

So the question of "why" is still open; the experts disagree. But we can all understand that some small companies will become successful big companies in a few years, and that they make highly rewarding investments.